

The Securities and Exchange Board of India Act, 1992

A Legislative and Architectural Overview

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Aim: A concise structural reading of the SEBI Act — from its statutory architecture to its enforcement machinery — grounded in academic literature.



Foundations of the Act

Structure of the SEBI Act, 1992

A detailed overview of the legislative framework establishing the Securities and Exchange Board of India, and defining its statutory mandate.

- ▶ Enacted by the Parliament of India in 1992.
- ▶ Establishes an autonomous statutory body.
- ▶ Designed to balance market regulation with investor protection.
- ▶ Structured across 10 Chapters and Sections 1 to 35.

1992

Year of Enactment

10 Chapters

3 added via amendment

Sections 1–35

Statutory Range

Legislative Overview

Statutory Framework

The **SEBI Act, 1992** was enacted to establish an autonomous statutory body for regulating India's securities market.

- ▶ Balances market regulation with investor protection.
- ▶ Structured across 10 Chapters — including VA, VIA, and VIB added via amendments.
- ▶ Sections 1 to 35 define scope, powers, penalties, and appeals.

STATUTORY PILLARS

- Regulation ●
- Development ●
- Investor Protection ●
- Enforcement ●
- Adjudication ●

An Architectural Glance

Chapters	Sections	Subject Matter / Scope
Chapter I	Sec 1–2	Preliminary: Short title, commencement, extent & definitions
Chapter II	Sec 3–9	Establishment, incorporation & management of the Board
Chapter III	Sec 10	Transfer of assets, liabilities & staff from predecessor board
Chapter IV	Sec 11–11D	Powers and statutory functions of SEBI
Chapters V & VA	Sec 12 & 12A	Registration of intermediaries & prohibition of manipulative trades
Chapters VI–VII	Sec 13–35	Finance, penalties, SAT establishment & miscellaneous rules

Preliminary & Board Setup

Preliminary

Sections 1–2: Extends to whole of India. Defines key market concepts — board, securities, market intermediaries, and regulatory authority.

Establishment

Sections 3–9: Establishes SEBI as a *body corporate* with perpetual succession. Outlines board constitution, Chairman appointment, and meeting rules.

Asset Transfer

Section 10: Governs seamless transfer of assets, liabilities, contracts, and existing employees from the pre-statutory Board to SEBI.



Powers, Functions & Intermediaries

Powers & Functions — Core Mandate

Core Regulatory Duty (Sec 11)

Obligation to protect investor interests, promote capital market development, and regulate securities trading across India.

Inspection & Investigation (Sec 11C)

Authority to conduct investigations into market abuses, call for information, and inspect books of registered intermediaries.

Directive Powers (Sec 11D)

Power to issue *Cease and Desist* orders against persons or entities indulging in fraudulent or unfair market activities.

Market Intermediary Oversight

Power to mandate rules, audit stock exchanges and self-regulatory organisations, and supervise market participants.

Registration & Prohibitions

Chapter V — Section 12

Intermediary Registration

Mandates compulsory *Registration Certificates* for key market participants:

- ▶ Sub-Brokers & Merchant Bankers
- ▶ Underwriters & Portfolio Managers
- ▶ Investment Advisors
- ▶ Depository Participants & Registrars

Chapter V — Section 12A

Prohibited Activities

Strictly prohibits illegal practices in securities transactions:

- ▶ Manipulative, deceptive devices or fraud
- ▶ Insider trading on non-public information
- ▶ Substantial acquisition without mandated disclosures
- ▶ Market manipulation & price rigging



Enforcement & Adjudication

Penalties & Adjudication

Monetary Sanctions (Sec 15A–15HB)

Specific penalties for failure to furnish information, non-disclosure of insider holdings, insider trading, and broker defaults.

Adjudicating Officers (Sec 15I)

SEBI appoints officers to hold inquiry and impose statutory monetary fines based on the nature and extent of default.

Settlement Proceedings (Sec 15JB)

Provision for settlement of administrative enforcement proceedings, with or without admission of guilt.

15A–15HB

Spectrum of monetary penalties

15I Adjudicating Officers

15JB Settlement Window

Securities Appellate Tribunal

Chapter VIB (Sections 15K–15Z) — Judicial Mechanism for Appeals

1

SEBI Order

Adjudicating Officer or Board issues a regulatory order or penalty.

2

Appeal to SAT

File appeal under Sec 15T within 45 days of receiving the order.

3

SAT Proceeding

SAT exercises civil court powers (Sec 15U) to hear & pass judgment.

4

Supreme Court

Further appeal on law questions within 60 days (Sec 15Z).

Penal Framework Comparison

Insider Trading (15G)

Up to ₹25 Cr or 3× Profit

Unfair Trade (15HA)

Up to ₹25 Cr or 3× Profit

Non-Disclosure (15A)

₹1 Lakh/day up to ₹1 Cr

General Default (15HB)

Comparison of statutory maximum penalties under Chapter VIA of the SEBI Act, 1992 — reflecting the severe treatment of market-integrity breaches.

SEBI Act — Chapter Breakdown

Chapters	Sections	Key Provisions	Primary Focus	
I–III	1–10	Establishment, definitions & Board setup	Institutional Governance	Governance
IV–V	11–12	Powers, registration & inspections	Market Control	Intermediary
VA	12A	Fraud, Insider Trading & Takeovers	Market Integrity & Ethics	
VIA–VIB	15A–15Z	Adjudication, Penalties & SAT Appeals	Enforcement & Appellate Remedies	
VI–VII	13–35	Finance, Audit, Rules & CG Powers	Financial & Policy Oversight	

IV

Oversight & Case Law

Finance, Audit & Government Oversight

Chapter VI (Sec 13–15)

Finance & Audit

Grants & Fund: SEBI maintains a separate fund for fees, charges, and central grants received.

Accounts & Audit: Accounts audited annually by the *Comptroller and Auditor-General of India (CAG)*.

Chapter VII (Sec 16–35)

Government Directives & Rules

Central Powers: Government power to issue binding policy directions ([Sec 16](#)) and to supersede the Board in emergencies ([Sec 17](#)).

Provides a constitutional safeguard over the regulator's autonomy.

Case Study

Harshad Mehta Scam

1992

A watershed securities fraud that catalysed a stronger, statutory role for SEBI in market regulation.

Satyam Scandal

2009

Triggered sweeping corporate governance reforms, sharpening disclosure norms and board accountability.

Recent IPO Oversight

Present Day

Ensuring fair allotment, transparent disclosures, and orderly participation in primary markets.



Conclusion & References

Conclusion

- ▶ Ensures **market integrity** through a robust statutory framework.
- ▶ Builds **investor confidence** via transparent enforcement.
- ▶ Promotes **financial inclusion** by widening safe market access.
- ▶ Aligns Indian markets with **global regulatory standards**.

SEBI's Enduring Role

From a market regulator to
a guardian of investor trust
— anchoring India's capital
markets in rule of law.

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All quotations and statutory references are drawn from the official Act and standard academic texts.

THANK YOU

Questions & Discussion

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